

In my thesis, I apply recursive Frisch-Waugh-Lovell decompositions to find an alternative derivation for omitted variable bias and a total derivative analogue to the regression partial derivative.

Goldberger (1991, p. 186), after introducing the omitted variable bias formula, notes:

The situation here is quite reminiscent of the distinction between partial and total derivatives in calculus. Indeed  $\beta_1 = \beta_{1.2} + F\beta_{2.1}$  has the same pattern as  $\frac{dy}{dx_1} = \frac{\partial y}{\partial x_1} + \left(\frac{dx_2}{dx_1}\right)\left(\frac{\partial y}{\partial x_2}\right)$ .

With recursive Frisch-Waugh-Lovell decompositions, I show that Goldberger's comment holds exactly: omitted variable bias *is* the distinction between the partial and total derivative.

## Preliminaries

*Partial and total derivatives:* Consider a function  $f(\mathbf{x}) : \mathbb{R}^n \rightarrow \mathbb{R}$  where  $\mathbf{x} = [x_1 \ x_2 \ \cdots \ x_n]'$ . Recall the partial and total derivatives of  $f(\mathbf{x})$  with respect to  $x_1$ :

$$\begin{aligned}\frac{\partial f(\mathbf{x})}{\partial x_1} &= \lim_{\Delta x_1 \rightarrow 0} \frac{f(x_1 + \Delta x_1, x_2, \dots, x_n) - f(x_1, x_2, \dots, x_n)}{\Delta x_1} \\ \frac{df(\mathbf{x})}{dx_1} &= \frac{\partial f(\mathbf{x})}{\partial x_1} + \sum_{i=2}^n \frac{\partial f(\mathbf{x})}{\partial x_i} \frac{dx_i}{dx_1}\end{aligned}$$

Note that the definition of the total derivative is recursive.

*Frisch-Waugh-Lovell (FWL) decompositions:* Consider the OLS-estimated regression of  $\mathbf{y} \in \mathbb{R}^n$  on covariate set  $\mathbf{X} \in \mathbb{R}^{n \times k}$  yielding  $\beta = (\mathbf{X}'\mathbf{X})^{-1}\mathbf{X}'\mathbf{y}$  and  $\mathbf{e} = \mathbf{y} - \mathbf{X}\beta$ . Define  $\mathbf{X} = [\mathbf{x}_1 \ \mathbf{x}_2 \ \cdots \ \mathbf{x}_k]$  and  $\beta = [\beta_1 \ \beta_2 \ \cdots \ \beta_k]'$ .

Denote  $\mathbf{X}_{-\mathbf{x}_1} = [\mathbf{x}_2 \ \mathbf{x}_3 \ \cdots \ \mathbf{x}_k]$  and  $\tilde{\mathbf{x}}_1 = \mathbf{x}_1 - \mathbf{X}_{-\mathbf{x}_1}(\mathbf{X}_{-\mathbf{x}_1}'\mathbf{X}_{-\mathbf{x}_1})^{-1}\mathbf{X}_{-\mathbf{x}_1}'\mathbf{x}_1$ . By the Frisch-Waugh-Lovell theorem,  $\beta_1 = (\tilde{\mathbf{x}}_1'\tilde{\mathbf{x}}_1)^{-1}\tilde{\mathbf{x}}_1'\mathbf{y}$ . Further, if  $\tilde{\mathbf{X}} = [\tilde{\mathbf{x}}_1 \ \tilde{\mathbf{x}}_2 \ \cdots \ \tilde{\mathbf{x}}_k]$ , because  $\tilde{\mathbf{x}}_i \perp \tilde{\mathbf{x}}_j$  for all  $i \neq j$  it follows that  $\beta = (\tilde{\mathbf{X}}'\tilde{\mathbf{X}})^{-1}\tilde{\mathbf{X}}'\mathbf{y}$ . This result is purely algebraic and does not rely on statistical properties of the estimator.

The “Frisch-Waugh-Lovell decomposition of  $\mathbf{x}_1$ ” refers to the regression of  $\mathbf{x}_1$  on the set of other covariates,  $\mathbf{X}_{-\mathbf{x}_1}$ . This decomposes  $\mathbf{x}_1$  into the component linearly explained by the set

of other covariates and the residual component,  $\tilde{\mathbf{x}}_1$ . The regression of  $\mathbf{y}$  on  $\tilde{\mathbf{x}}_1$  yields  $\beta_1$ .

*Regression partial derivative:* The “partial effect” of  $\mathbf{x}_1$  on  $\mathbf{y}$  is the expected difference in  $\mathbf{y}$  given a difference in  $\mathbf{x}_1$ , holding other  $\mathbf{x}_i$  fixed. This is equivalently stated as  $\frac{\partial \mathbf{y}}{\partial \mathbf{x}_1}$ , the partial derivative of  $\mathbf{X}\beta + \mathbf{e}$  with respect to  $\mathbf{x}_1$ . With a model linear in inputs,  $\frac{\partial \mathbf{y}}{\partial \mathbf{X}} = \beta$ .

*Omitted variable bias:* Consider the “long” OLS-estimated regression of  $\mathbf{y} \in \mathbb{R}^n$  on  $\mathbf{X} \in \mathbb{R}^{n \times k}$  and  $\mathbf{Z} \in \mathbb{R}^{n \times p}$ . Let  $\beta_i$  be the coefficient on  $\mathbf{x}_i \in \mathbf{X}$  in this regression, and  $\tilde{\beta}_i$  be the coefficient on  $\mathbf{x}_i$  in the “short” regression of  $\mathbf{y}$  on  $\mathbf{X}$  alone (i.e., omitting  $\mathbf{Z}$ ). Then,  $\tilde{\beta}_i = \beta_i + \sum_{j=1}^p \beta_j \alpha_j$ , where  $\beta_j$  is the coefficient on  $\mathbf{z}_j \in \mathbf{Z}$  in the long regression and  $\alpha_j$  the coefficient on  $\mathbf{x}_i$  in the regression of  $\mathbf{z}_j$  on  $\mathbf{X}$ .

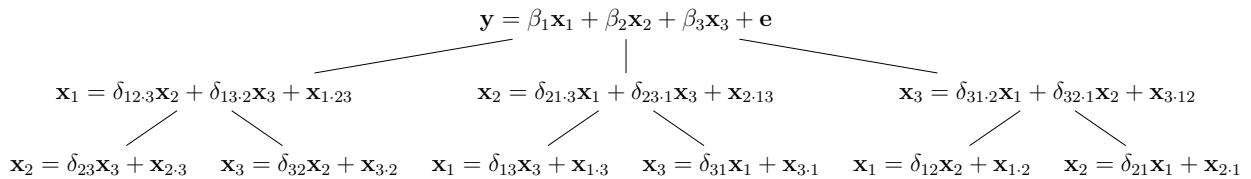
*Projection operator:* I use a system of notation introduced in Yule (1907) and used e.g. in Goldberger (1968). In this system,  $\delta_{ab \cdot cd}$  refers to the coefficient on  $\mathbf{x}_b$  in the regression of  $\mathbf{x}_a$  on  $\mathbf{x}_b, \mathbf{x}_c$ , and  $\mathbf{x}_d$ . Similarly,  $\mathbf{x}_{b \cdot cd}$  refers to the residuals from the regression of  $\mathbf{x}_b$  on  $\mathbf{x}_c$  and  $\mathbf{x}_d$ , that is, the component of  $\mathbf{x}_b$  which remains after partialling out the component linearly explained by  $\mathbf{x}_c$  and  $\mathbf{x}_d$ . The  $\cdot$  can be viewed as a projection operator. With this notation, the Frisch-Waugh-Lovell theorem can be stated concisely as  $\delta_{(a \cdot cd)(b \cdot cd)} = \delta_{a(b \cdot cd)} = \delta_{ab \cdot cd}$ . The omitted variable bias result for one omitted variable can be stated as  $\delta_{ab} = \delta_{ab \cdot c} + \delta_{ac \cdot b} \delta_{cb}$ .

## Recursive Frisch-Waugh-Lovell decompositions

Recursive Frisch-Waugh-Lovell decompositions in the 3-covariate case can be stated as  $\delta_{ab \cdot cd} = \delta_{a(b \cdot cd)} = \delta_{a(b \cdot (c \cdot d)(d \cdot c))}$ .

Consider a regression of the form  $\mathbf{y} = \beta_1 \mathbf{x}_1 + \beta_2 \mathbf{x}_2 + \beta_3 \mathbf{x}_3 + \mathbf{e}$ . From the preliminaries, we know  $\beta_1$  can be obtained from the regression of  $\mathbf{y}$  on  $\tilde{\mathbf{x}}_1$ , the residuals from the FWL decomposition of  $\mathbf{x}_1$ . Under this notation,  $\tilde{\mathbf{x}}_1 = \mathbf{x}_{1 \cdot 23}$ , the residuals from the regression  $\mathbf{x}_1 = \delta_{12 \cdot 3} \mathbf{x}_2 + \delta_{13 \cdot 2} \mathbf{x}_3 + \mathbf{x}_{1 \cdot 23}$ . Similarly,  $\delta_{12 \cdot 3}$  can be obtained from the regression of  $\mathbf{x}_1$  on  $\mathbf{x}_{2 \cdot 3}$ , where  $\mathbf{x}_{2 \cdot 3}$  are the residuals from the regression  $\mathbf{x}_2 = \delta_{23} \mathbf{x}_3 + \mathbf{x}_{2 \cdot 3}$ . Right-hand-side variables in FWL decompositions can themselves be decomposed.

The set of decompositions, and decompositions of decompositions, can be depicted as a tree:



Any regression with  $k$  right-hand-side variables can be decomposed into  $k$  regressions each

with  $k - 1$  right-hand-side variables, then decomposed into  $k - 1$  regressions of  $k - 2$  right-hand-side variables, and so on to the base case of  $k!$  bivariate regressions. A fully-decomposed tree contains  $\sum_{i=1}^k \frac{k!}{(k-i)!}$  coefficients. All coefficients in a tree can be estimated with a series of bivariate regressions, which I [implement in Python](#). The Python code also produces decomposition trees for output with the FOREST package in L<sup>A</sup>T<sub>E</sub>X.

## Regression total derivative and omitted variable bias

Nested functions of this kind hint at applications of the chain rule, which I've found allows for the definition of a regression total derivative and an alternative derivation of omitted variable bias.

By recursive Frisch-Waugh-Lovell decompositions, we can view each variable in terms of their decompositions, recursively to the base case of a series of bivariate regressions. Applying the chain rule to the three-variable tree in the previous section, we find the regression analogue of the total derivative:

$$\begin{aligned} \frac{dy}{dx_1} &= \frac{\partial y}{\partial x_1} + \frac{\partial y}{\partial x_2} \frac{dx_2}{dx_1} + \frac{\partial y}{\partial x_3} \frac{dx_3}{dx_1} \\ &= \frac{\partial y}{\partial x_1} + \frac{\partial y}{\partial x_2} \left( \frac{\partial x_2}{\partial x_1} + \frac{\partial x_2}{\partial x_3} \frac{dx_3}{dx_1} \right) + \frac{\partial y}{\partial x_3} \left( \frac{\partial x_3}{\partial x_1} + \frac{\partial x_3}{\partial x_2} \frac{dx_2}{dx_1} \right) \\ &= \beta_1 + \beta_2(\delta_{21.3} + \delta_{23.1}\delta_{31}) + \beta_3(\delta_{31.2} + \delta_{32.1}\delta_{21}) \end{aligned}$$

Applying the omitted variable bias formula from the preliminaries, we can simplify this expression into  $\tilde{\beta}_1$ , the coefficient from the simple regression of  $y$  on  $x_1$ :

$$\frac{dy}{dx_1} = \beta_1 + \beta_2(\delta_{21.3} + \delta_{23.1}\delta_{31}) + \beta_3(\delta_{31.2} + \delta_{32.1}\delta_{21}) \quad (1)$$

$$= \beta_1 + \beta_2\delta_{21} + \beta_3\delta_{31} \quad (2)$$

$$= \tilde{\beta}_1$$

Here, line 1 applies the one-omitted-variable bias formula ( $\delta_{ab} = \delta_{ab \cdot c} + \delta_{ac \cdot b}\delta_{cb}$ ) and line 2 applies the two-omitted-variable bias formula ( $\delta_{ab} = \delta_{ab \cdot cd} + \delta_{ac \cdot bd}\delta_{cb} + \delta_{ad \cdot cb}\delta_{db}$ ).

Because decomposition trees are recursive, this naturally extends to the case of any number of variables. By this application of the chain rule to the decomposition tree, we have defined a regression total derivative and an alternative derivation for omitted variable bias. In doing so, we have confirmed Goldberger's comment, finding that omitted variable bias is exactly the difference between the regression partial and total derivatives.

## References

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